

NOVEMBER 2021 FORECAST

FY2022 THRU FY2026

Brecksville-Broadview Heights City School District

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WHAT IS A FORECAST?

A forecast is a snapshot at a specific point in time and based off the most current information available.

Disclaimers:

1. A forecast is a living document and can change within hours or days of publication.
2. Assumptions laid out in this presentation in no way represent a baseline for any current or future negotiations with CBAs.
3. Due to the COVID-19 Pandemic all schools continue to be in uncharted territory both academically and financially. BBHCSD will continue to monitor its financial situation as information becomes available
4. This forecast does include current negotiated agreements and does plan for the opening of our new PRE-K thru Grade 5 Elementary School.
5. The forecast does not include any revenues regarding the TIF. TIF money is not expected to begin generating revenue until possibly FY2025.

KIS STATEMENT

	2021	2022	2023	2024	2025
Beginning Cash Balance	\$19,867,227	\$19,942,916	\$19,687,564	\$18,612,181	\$16,143,603
+ Revenue	\$52,074,622	\$52,606,525	\$53,244,225	\$53,501,507	\$53,815,068
+ Renewal Levies	\$0	\$0	\$0	\$0	\$0
+ New Levies	\$0	\$0	\$0	\$0	\$0
- Expenditures	\$51,998,933	\$52,861,877	\$54,319,608	\$55,970,085	\$57,605,049
= Revenue Surplus or Deficit	\$75,689	-\$255,352	-\$1,075,383	-\$2,468,578	-\$3,789,981
Ending Cash Balance with Levies	\$19,942,916	\$19,687,564	\$18,612,181	\$16,143,603	\$12,353,622
Revenue Surplus or Deficit without Levies	\$75,689	-\$255,352	-\$1,075,383	-\$2,468,578	-\$3,789,981
Ending Cash Balance without Levies	\$19,942,916	\$19,687,564	\$18,612,181	\$16,143,603	\$12,353,622

**Balances not reduced for encumbrances or reservations

	2022	2023	2024	2025	2026
Beginning Cash Balance	\$21,292,363	\$21,399,129	\$21,547,148	\$20,334,230	\$18,002,758
+ Revenue	\$52,768,710	\$53,340,635	\$53,708,785	\$54,175,191	\$54,619,719
+ Renewal Levies	\$0	\$0	\$0	\$0	\$0
+ New Levies	\$0	\$0	\$0	\$0	\$0
- Expenditures	\$52,661,944	\$53,192,616	\$54,921,703	\$56,506,663	\$58,075,255
= Revenue Surplus or Deficit	\$106,766	\$148,019	-\$1,212,918	-\$2,331,472	-\$3,455,536
Ending Cash Balance with Levies	\$21,399,129	\$21,547,148	\$20,334,230	\$18,002,758	\$14,547,222
Revenue Surplus or Deficit without Levies	\$106,766	\$148,019	-\$1,212,918	-\$2,331,472	-\$3,455,536
Ending Cash Balance without Levies	\$21,399,129	\$21,547,148	\$20,334,230	\$18,002,758	\$14,547,222

**Balances not reduced for encumbrances or reservations

HOW DOES THE NEW FUNDING FORMULA AFFECT BBHCSD?

- We are still not on the formula – we are a guaranteed district.
- Our increase in revenues comes primarily from catastrophic aid and transportation.
- In short, we will see reduced revenues overall since the way we are funded per student changes – Total ADM vs District Educated
- Revenue Impact:

Revenue Impact FY 2021 to FY 2022		District
Overall State Revenue Gain/Loss FY 2021 to FY 2022	Actual Posted FY 2021	Projected FY 2022
Unrestricted State Funding Per 5Cast Forecast Lines	\$4,831,990	\$4,148,234 <After State Funding Assumption Asst.
Restricted State Funding Per 5Cast Forecast Lines	\$299,714	\$858,962 <After State Funding Assumption Asst.
Open Enrollment In Revenue Code 1227 as Posted 5Cast	\$0	
Total State Funding as Posted	\$5,131,704	\$5,007,196 < Total State Funding as Forecasted
Revenue Change FY 22 over/(Under) FY 21		(\$124,508) Potential Unfavorable Impact on Revenue Current Assumption Assist Results

HOW DOES THE NEW FUNDING FORMULA AFFECT BBHCSD?

- We will see huge reductions on the expenditure side of the formula because those we will no longer be a pass through for community (charter) schools and scholarship (Autism and Jon Peterson).
- Expenditure Impact:

Expenditure Impact FY 2021 to FY 2022

Other FSFP Factors Beyond State Revenue Detail

	FY 2021	
Open Enrollment Expense (Calculated)	(\$30,412)	SFPR Net Adjusted for Posted Open Enrollment In Revenue

From FY 21 June#2 SFPR:

Community School	(\$428,537)
Stem School	\$0
Cleveland Scholarship	\$0
Autism Scholarship	(\$327,402)
EdChoice Scholarship	\$0
Peterson Scholarship	(\$418,241)

Potential "Tuition Cost Reduction" Impact	(\$1,204,592)
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FY 21 S Wellness Expenditures Shifted to General Fund in FY 22

\$191,567 Potential Unfavorable Impact

Wellness Spending Shifted to General Fd (Assumes All Wellness)

Memo: SF10 Restricted FY 2022 Wellness \$134,343

If spent less then could be less unfavorable.

Net Impact on Expenditures	(\$1,013,026)	Potential Favorable Impact
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GENERAL COMMENTS

- As we begin to come out of the pandemic, we are seeing spending return to “normal”.
- We continue to use grant money in the most efficient manner as possible and as quickly as possible. “Spend the free money first”.
 - We also continue to seek additional grants – Safety Grant, Safe Routes to School, OFCC, etc.
- We maintain our financial stability for now; however, we need to be cautious over the next 2 years to try and extend the deficit spending. Deficit spending can quickly get out of control and compounds.
- We factored in as much as we could in anticipation of the new building for next year. There will undoubtedly be changes as we get closer to that date.